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Demurrers to Third Amended Complaint and Motion to Strike

Moving Parties: Defendants NWN Corporation; Redondo Beach Unified School District; and Asset Finance Group, Inc.

Responding Party: Plaintiff Network Integration Company Partners, Inc.

RULING

The court considered the moving papers, opposition, and replies. Moving Defendants' demurrers to Plaintiff's TAC are SUSTAINED without leave to amend. The court declines to address NWN's motion to strike filed in the alternative.

PROCEDURAL BACKGROUND

On May 23, 2025, Plaintiff Network Integration Company Partners, Inc. ("Plaintiff") filed a Complaint for Reverse Validation of Public School District Financing Agreement and Related Contracts per Code Civ. Proc. section 860 et seq. against Redondo Beach Unified School District ("RBUSD" or "District"); NWN Corporation d/b/a NWN Solutions Corporation ("NWN"); Carousel Industries of North America, LLC ("Carousel"); Asset Finance Group, Inc. ("Asset"); and All Persons Interested in the Matters of RBUSD's Resolution No. R 24-25:26 and the contracts referenced therein; and DOES 1-100, inclusive.

On July 16, 2025, NWN, Carousel, Asset, and RBUSD filed demurrers, which the court sustained with leave to amend.

On October 31, 2025, Plaintiff filed a first amended complaint ("FAC") against the same defendants, alleging causes of action for (1) Declaratory Injunctive Relief, and Other Equitable Relief Including Disgorgement Based on Violations of the California Constitution and Applicable Statutes; and (2) Reverse Validation of Public District Financing Agreement and Related Contracts Per Code Civ. Proc. § 860 et seq.

On December 2 and 3, 2025, NWN, Carousel, Asset, and RBUSD each filed a demurrer to the FAC. On January 7, 2026, the court sustained the demurrers and granted leave to amend as to the first cause of action only and denied leave to amend as to Carousel.

On February 6, 2026, Plaintiff filed a second amended complaint ("SAC") against the same defendants, alleging a single cause of action for Declaratory, Injunctive, and Other Equitable Relief Including Disgorgement Based on Violations of the

California Constitution and Applicable Statutes.

On May 11, 2026, Plaintiff filed a third amended complaint ("TAC") against the same defendants, alleging the same cause of action for Declaratory, Injunctive, and Other Equitable Relief Including Disgorgement Based on Violations of the California Constitution and Applicable Statutes.

On July 10, 2026, NWN filed a demurrer to the TAC along with a motion to strike. On July 13, 2026, RBUSD and Asset each filed a demurrer to the TAC. On September 10, 2026, Plaintiff filed a consolidated opposition to the three demurrers and NWN's motion to strike. On September 16, 2026, RBUSD and Asset each filed a reply. On September 17, 2026, NWN filed a reply. The court refers to NWN, RBUSD, and Asset collectively as "Moving Defendants."

FACTUAL BACKGROUND

Plaintiff alleges that it is a corporation formed and operating under the laws of California and is licensed by the California Contractors State Licensing Board ("CSLB") to provide the type of equipment and services that are the subject of the contracts referenced in the TAC and was denied the opportunity to bid on the contracts. (TAC, ¶ 1.) Plaintiff alleges that it has standing to bring this action under common law and under CCP Section 526a because Plaintiff has paid sales taxes to the state of California that fund RBUSD within one year before the commencement of this action. (TAC, ¶ 13.) Plaintiff further alleges that it has standing because it "is sufficiently interested in the subject matter hereof as a licensed contractor who ordinarily provides the various items of equipment, material, labor, services awarded by [RBUSD] under the contractors which are the subject of this action but was denied the opportunity to do so by [RBUSD's] failure to comply with applicable California laws." (TAC, ¶ 13.)

Plaintiff alleges that contracts by California school districts can only be entered into by their school board after being properly agendized pursuant to the Brown Act which provides that "[n]o action or discussion shall be undertaken on any item not appearing on the posted agenda, except that members of a legislative body or its staff may briefly respond to statements made or questions posed by persons exercising their public testimony rights under Section 54954.3." (TAC, ¶ 8.) Plaintiff alleges that Education Code Section 35163 additionally requires that "[e]very official action taken by the governing board of every school district shall be affirmed by a formal vote of the members of the board, and the governing board of every school district shall keep minutes of its meetings, and shall maintain a journal of its proceedings in which shall be recorded every official action taken." (TAC, ¶ 8.)

Plaintiff alleges that it "is well settled California law and public policy that the mode of contracting prescribed by statute is the measure of a public entity's (such as [RBUSD's]) power to contract; and a contract made in disregard of the prescribed mode is invalid, illegal, void and unenforceable." (TAC, ¶ 9.)

Plaintiff alleges that on April 2, 2025, RBUSD's Board of Education considered Agenda Action Item 9 and passed Resolution No. R 24-25:26 and subsequently contracted with NWN and Asset for them to "construct, alter, repair, add to, subtract from, improve buildings, structures, projects, developments and improvements of [RBUSD] by providing [RBUSD] with network infrastructure, safety and security and communication equipment, student/staff technology products, and associated and related services and installing same throughout [RBUSD] in return for [RBUSD's] payment to said Defendants of an amount in excess of \$54 million." (TAC, ¶ 24.)

Plaintiff alleges that RBUSD's contracts with NWN and Asset and RBUSD's payments pursuant to the contracts did not comply in all respects with all applicable requirements of California law, a contention which Defendants deny. (TAC, ¶ 26.) Specifically, Plaintiff alleges that the contracts and payments between RBUSD and NWN and Asset are illegal, void, and unenforceable because: (1) Education Code Section 17597 does not authorize contracts like the one between RBUSD and Asset; (2) neither NWN nor Asset were authorized at the time the contracts were awarded to purchase under the multiple award contracts relied on by RBUSD; (3) Asset and NWN are contracting, invoicing, and receiving payments for items that never existed; (4) Asset and NWN are contracting, invoicing, and receiving payments for items that are no longer available for purchase; (5) Asset and NWN are contracting, invoicing, and receiving payment for items that are not used by RBUSD; (6) the challenged contracts lack proper payment bonds in conformance with Civil Code Sections 9550, 9554, and 9552; (7)

NWN and Asset each lack a proper contractors license issued by CSLB; and (8) RBUSD is not allowed to pay more than \$250,000.00 under the GSA Multiple Award Contract. (TAC, ¶¶ 28-36.)

Plaintiff “demands a judicial adjudication of the legality and enforceability of the contracts and payments thereunder between [RBUSD] and NWN and [Asset] and declaration relative to same after discovery and the presentation of evidence and argument at trial.” (TAC, ¶ 25.)

LEGAL STANDARD

A party may demur to a complaint on the grounds that it “does not state facts sufficient to constitute a cause of action.” (Code Civ. Proc. Section 430.10(e).) A party may also demur to a pleading on the grounds that the pleading is uncertain. (Code Civ. Proc. Section 430.10(f).) A demurrer tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) A special demurrer for uncertainty under Code of Civil Procedure section 430.10(f) is disfavored and will only be sustained where the pleading is so bad that defendant or plaintiff cannot reasonably respond—i.e., cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him or her. (Khoury v. Maly's of Calif., Inc. (1993) 14 Cal.App.4th 612, 616.)

When considering demurrers, courts accept all well pleaded facts as true. (Fox v. JAMDAT Mobile, Inc. (2010) 185 Cal.App.4th 1068, 1078.) “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed.” (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) “The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (Hahn, supra, 147 Cal.App.4th at 747.) On demurrer, a court does “not accept contentions, deductions or conclusions of fact or law.” (Simonyan v. Nationwide Insurance Company of America (2022) 78 Cal.App.5th 889, 895.)

Although courts construe pleadings liberally, sufficient facts must be alleged to support the allegations pled to survive a demurrer. (Rakestraw v. California Physicians' Serv. (2000) 81 Cal.App.4th 39, 43.) Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.) The burden is on the party who filed the pleading subject to demurrer to show the court that a pleading can be amended successfully. (Ibid.)

DISCUSSION

Moving Party's Argument

NWN argues that Plaintiff lacks standing to interfere with RBUSD's discretion, lacks standing to challenge the payment bond because a bond is not required until after contracting, and Plaintiff lacks standing to challenge NWN's contractor's license because NWN is not bringing an action against RBUSD and RBUSD is not bringing an action against NWN. NWN argues that Plaintiff cannot establish that RBUSD lacked authority to award the contracts to NWN, because it had authority under Public Contract Code Sections 10299 and 20118. NWN further argues that Plaintiff has failed to allege a basis for finding any of the contracts void, because Plaintiff has continued to improperly plead allegations against multiple Defendants. NWN next argues that the terms of the contracts contradict Plaintiff's allegations that NWN was not authorized to sell under certain Multiple Award Schedule (“MAS”) agreements and that products NWN sold were not listed on the MAS agreements. Next, NWN argues that payment bonds do not affect a contract's validity, and the TAC fails to allege sufficient facts to establish that any pricing schedule exceeds any dollar limit in an underlying multiple award schedule contract. NWN also argues that Plaintiff's claims based on contract interpretation are not ripe. In the alternative, NWN requests that the improper grounds are stricken from the TAC.

RBUSD argues that Plaintiff continues to fail to identify any statute that was actually violated, any legal basis for the invalidation of the contracts, or any plausible claim for relief. RBUSD argues that Plaintiff fails to meet the strict pleading requirements to assert taxpayer standing under CCP Section 526a, because the TAC does not contain specific allegations

showing that the funds were unlawfully spent, wasted, or misused, and the TAC does not allege facts showing an illegal expenditure made without statutory authority as opposed to a disagreement with how RBUSD exercised its discretion. RBUSD further argues that Plaintiff's first cause of action improperly seeks judicial invalidation of contracts without asserting a cognizable legal theory, and the TAC contains conclusory, undifferentiated allegations that make it impossible for any Defendant to discern what conduct is alleged specifically against them. RBUSD also argues that the TAC is not ripe to the extent that it relies on speculative future events such that certain products may be unavailable or discontinued in the future. RBUSD also argues that the TAC fails because declaratory relief is a remedy rather than a standalone cause of action. RBUSD next argues that Plaintiff is a direct competitor of NWN and the allegations of the TAC indicate that Plaintiff is improperly attempting to invalidate a competitor's contract award rather than protect the public interest against unlawful expenditures.

Asset argues that the TAC fails to state a taxpayer claim against Asset under CCP Section 526a or the common law because Plaintiff has not adequately alleged any illegal expenditure or waste and Plaintiff has not adequately alleged standing. Asset also argues that the TAC is fatally uncertain because Plaintiff's allegations are vague such that it cannot be determined which allegations are directed at which parties. Asset argues that Plaintiff has cited nine examples of alleged illegal conduct but only one involves Asset's Installment Payment Agreement, and the lone allegation is meritless because it plainly falls within Education Code Section 17597. Asset argues that Plaintiff's allegations that it has standing are conclusory and insufficient.

Opposing Party's Argument

Plaintiff argues that the TAC pleads at least nine independent grounds upon which the contracts and payments constitute actionable waste and violate California law. Plaintiff contends that it has standing pursuant to CCP Section 526a because Plaintiff has alleged that it paid sales taxes to California that fund RBUSD within one year before the commencement of this action. Plaintiff argues that NWN's request for judicial notice cannot be a basis for sustaining and of the demurrers to the extent that NWN asks the court to take judicial notice of the truth of the documents' contents, their meaning, or the factual conclusions NWN attempts to draw from them. Next, Plaintiff argues that there is no governmental discretion to make an illegal expenditure, and here, Plaintiff has alleged expenditures for specific invoiced items that did not exist, were obsolete or unavailable, or were otherwise not actually supplied in exchange for the public money paid. Plaintiff argues that its first cause of action is legally sufficient because it sets forth facts showing the existence of contracts between Moving Defendants and alleges an actual controversy relating to the legal rights and duties of the parties under the contracts and requests that the rights and duties are adjudicated by the court. Next, Plaintiff argues that the TAC is not fatally uncertain because Moving Defendants are sufficiently apprised of the issues they are being asked to respond to. Plaintiff argues that Asset's Installment Payment Agreement does not provide for a sale of RBUSD equipment to Asset followed by Asset's lease of that equipment back to RBUSD, as required by Education Code Section 17597. Finally, Plaintiff argues that NWN's alternative motion to strike should be denied because the challenged allegations are neither irrelevant nor improper, and their validity depends on disputed facts, statutory interpretation, and the meaning of the parties' documents and thus cannot be stricken at the pleading stage.

Reply Argument

NWN reiterates its argument that Plaintiff lacks standing to bring this action because Plaintiff has not alleged facts showing that RBUSD failed to comply with its contracting authority. NWN further argues that Plaintiff lacks standing to challenge the payment bond and NWN's contractor's license. NWN also reiterates its argument that Plaintiff continues to improperly plead allegations against multiple Defendants. NWN argues that Plaintiff cannot establish that the purchases made by RBUSD under the contracts were unlawful. NWN also argues that the court should grant its request for judicial notice as Plaintiff has not objected to the court taking notice of the existence of the records.

RBUSD reiterates its arguments that Plaintiff lacks standing under common law and CCP Section 526a, Plaintiff has failed to allege any illegal expenditures or waste of public funds by RBUSD and instead challenges RBUSD's exercise of lawful discretion to enter into contracts, and Plaintiff has failed to allege facts showing that the contracts between RBUSD, NWN, and Asset are illegal, void, or unenforceable. RBUSD also reiterates its argument that the TAC remains fatally uncertain because it fails to identify which allegations are directed at RBUSD.

Asset argues that the TAC fails to state a claim against Asset under any theory because Plaintiff has not alleged any illegal conduct in connection with the contract between Asset and RBUSD and has not alleged any basis to invalidate or void that agreement. Asset argues that only one of Plaintiff's nine alleged examples of illegal conduct involves Asset's contract with RBUSD, and this lone allegation is meritless. Asset argues that Plaintiff has continued to refer to Defendants collectively. Finally, Asset reiterates its argument that Plaintiff has failed to adequately allege California taxpayer standing because it has not provided sufficient additional facts to support Plaintiff's allegation that it paid sales taxes to the state of California.

Request for Judicial Notice

NWN requests that the court take judicial notice of the following records: (1) the January 7, 2026 Court Order sustaining Defendants' demurrer in this action; (2) excerpts from GS-35F-0511T; (3) excerpts from CMAS 3-16-70-0612AN; (4) excerpts from Statewide Contract 1-22-70-30; (5) excerpts from NCPA Contract #01-170; (6) excerpts from Statewide Contract STP-SW-SCS-19-NWN; (7) excerpts from GSA GS-07F-0326T; and (8) a copy of the March 12, 2025 product list from NASPO ValuePoint AR3227.

The court may take judicial notice of its own records pursuant to Evidence Code Section 452(d). Accordingly, the court grants NWN's request for judicial notice as to Exhibit 1.

Pursuant to Evidence Code Section 452(h), the court may take judicial notice of "[f]acts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy." Accordingly, NWN's request for judicial notice is GRANTED in its entirety. However, the court takes judicial notice of these documents only as to "the existence, content and authenticity" of the documents; the court does not take judicial notice of the truth of the factual matters asserted in it. (*Dominguez v. Bonta* (2022) 87 Cal. App. 5th 389, 400.) Therefore, the court declines to address Plaintiff's evidentiary objections.

Merits of the Motion

A. Meet and Confer Requirements

Before filing a demurrer, the demurring party is required to meet and confer "in person, by telephone, or by video conference with the party who filed the pleading that is subject to the demurrer for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer." (Code Civ. Proc. Section 430.41(a).)

Here, NWN's counsel declares that on July 8, 2026, she participated in a meet and confer telephone call with Plaintiff's counsel and the other defense counsel, yet the parties were unable to reach an agreement. (Dauer Decl., ¶¶ 6-7.) RBUSD's counsel similarly declares that RBUSD's counsel met and conferred with Plaintiff's counsel by telephone on July 8, 2026, and the parties were unable to resolve the issues discussed. (Zadorian Decl., ¶¶ 2-4.) Asset's counsel also declares that the parties met and conferred on July 8 in a video conference call but the parties were unable to reach an agreement. (Linhardt Decl., ¶¶ 2-4.)

Therefore, the court finds that the meet and confer requirements have been satisfied as to each Moving Defendant.

B. Special Demurrers for Uncertainty: Code of Civil Procedure Section 430.10(f)

California Code of Civil Procedure Section 430.10(f) provides that a party may object to the complaint filed against them by demurrer to the pleading on the grounds that "the pleading is uncertain," a term which "includes ambiguous and unintelligible." (Code Civ. Proc. Section 430.10(f).) A demurrer for uncertainty will only be sustained where the defendant cannot reasonably respond to the complaint, such that the defendant cannot reasonably determine what claims are directed

against her, or what issues must be admitted or denied. (Khoury, supra, 14 Cal.App.4th at 616.)

However, if a complaint does not properly distinguish between multiple defendants, such that it is not clear which factual allegations are made as to which parties, the complaint fails for ambiguity. (See *Hawley Bros. Hardware Co. v. Brownstone* (1899) 123 Cal. 643, 646-647.) Allegations made against multiple defendants are fatally uncertain where plaintiff alleges the same harm against multiple defendants but makes no effort to either apportion their liability or show why it cannot be apportioned in the complaint. (See *Landau v. Salam* (1971) 4 Cal.3d 901, 909.)

Here, RBUSD and Asset each bring special demurrers for uncertainty on the grounds that Plaintiff has continued to plead allegations against multiple defendants collectively, an argument also made by NWN in its moving papers. In opposition, Plaintiff argues that “Defendants are sufficiently appraised of the issues they are being asked to meet such that their demurrers based on uncertainty should be overruled.” (Opp. 16:26-27.) The court disagrees.

Throughout the TAC, Plaintiff repeatedly refers to “Defendants” and NWN and Asset collectively, without clarifying which factual allegations are made as to which particular Defendant. In its ruling sustaining Moving Defendants’ previous demurrers to Plaintiff’s FAC, the court found that “Plaintiff’s joint allegations create uncertainty.” (NWN RJN, Exh. 1, p. 8.) The court finds that Plaintiff has failed to cure this defect, by grouping together multiple Defendants such that the TAC is fatally ambiguous.

Accordingly, Moving Defendants’ special demurrer for uncertainty is SUSTAINED. However, the court continues to discuss the merits of Moving Defendants’ demurrers to the TAC pursuant to Code of Civil Procedure Section 430.10(e).

C. Plaintiff’s Lack of Standing

Moving Defendants each demur to Plaintiff’s first cause of action on the grounds that Plaintiff lacks standing to bring this action.

Plaintiff alleges that it has standing to bring this action under the common law and under Code of Civil Procedure Section 526a “because Plaintiff has paid sales taxes to the State of California that fund [RBUSD] within one year before the commencement of this action.” (TAC, ¶ 13.)

The court first addresses Plaintiff’s standing pursuant to Section 526a, which provides: “An action to obtain a judgment, restraining and preventing any illegal expenditure of, waste of, or injury to, the estate, funds, or other property of a local agency, may be maintained against any officer thereof, or any agent, or other person, acting in its behalf, either by a resident therein, or by a corporation, who is assessed for and is liable to pay, or, within one year before the commencement of the action, has paid, a tax that funds the defendant local agency.” Such taxes include, but are not limited to, (1) an income tax; (2) a sales and use tax; (3) a property tax; or (4) a business license tax. (Code Civ. Proc. Section 526a(a)(1)-(a)(4).)

“To state a claim, the taxpayer must allege specific facts and reasons for the belief the expenditure of public funds sought to be enjoined is illegal.” (*Coshov v. City of Escondido* (2005) 132 Cal.App.4th 687, 714.) “General allegations, innuendo, and legal conclusions are not sufficient” [Citation.] (Ibid.) “Further, a taxpayer is not entitled to injunctive relief under Code of Civil Procedure section 526a where the real issue is a disagreement with the manner in which government has chosen to address a problem because a successful claim requires more than ‘an alleged mistake by public officials in matters involving the exercise of judgment or wide discretion. [Citation.]’” (Ibid.)

Plaintiff argues that it has adequately alleged standing as a taxpayer, and cites to *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677. In *Fistes*, the Court of Appeals found that a plaintiff had standing to challenge a contract awarded by a school district to a contractor under Section 526a because the plaintiff alleged that it “ ‘paid taxes to the State of California that were used directly and/or indirectly to make the payments that are the subject of this action.’” (Id. at 437-438.) As California school districts primarily receive funding from the state, the allegation that the plaintiff paid state

taxes was sufficient to establish standing. (Id. at 438.)

Plaintiff argues that the TAC has cured the defect identified by the court in its minute order sustaining Moving Defendants' demurrers to the FAC, by alleging that "Plaintiff has paid sales taxes to the State of California that fund [RBUSD] within one year before the commencement of this action." (TAC, ¶ 13.)

Here, Plaintiff has alleged that it paid sales taxes, and thus Plaintiff has specified the type of tax allegedly paid to the state of California that fund RBUSD. However, given the nature of the funding for the contract at issue, Plaintiff's allegation that it paid sales taxes to the State of California that fund RBUSD is insufficient to confer standing pursuant to Code of Civil Procedure Section 526a.

Plaintiff attached a copy of RBUSD's Agenda for its Regular Board of Education Meeting held on April 2, 2025 as Exhibit A to the TAC. (TAC, ¶ 17; Exh. A.) Pages 007 and 008 of Exhibit A reflect RBUSD's approval of Resolution No. R 24-25:26 "for authorizing the acquisition, associated services, and lease-purchase of network infrastructure, safety and security and students/staff technology," lists a dollar amount of \$54,288,951.78, and states that the Budget Source is a Measure S Bond. (TAC, Exh. A, pp. 007-008.) It further states that all ongoing expenses for the contract will be funded by the same bond. (Id.)

Pursuant to Evidence Code Section 452(h), the court may take judicial notice of facts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination. The court exercises its discretion to take judicial notice of a copy of the document titled "General Election November 5, 2024 Measures Appearing on the Ballot" prepared by the Los Angeles County Registrar-Recorder/County Clerk, available at the following link: [measures-appearing-on-the-ballot--9-11-2024-lma.pdf](#). This document contains Measure S, titled "Redondo Beach School Repair/Student Safety Measure," which authorizes "\$278,000,000 of bonds at legal rates, levying \$29.95 per \$100,000 assessed value (\$14,940,000 annually) while bonds are outstanding, require[es] independent oversight, audits, spending disclosure and all funds locally controlled" to "improve quality education and protect student safety." (Nov. 5, 2024 Measures Appearing on the Ballot, p. 28.)

Measure S expressly provides that the source of RBUSD's authorized funds is an assessment charged to City of Redondo Beach real property owners. Here, Plaintiff has not alleged that it is a property owner within the City of Redondo Beach, and thus Plaintiff's allegation at paragraph 13 of the TAC that it has paid sales taxes that fund RBUSD is insufficient as Exhibit A indicates that the only source of RBUSD involved in this matter is the Measure S Bond.

Therefore, the court concludes that Plaintiff has failed to allege that it has standing to bring this action under Code of Civil Procedure Section 526a as an affected taxpayer.

D. Plaintiff's Failure to Allege Illegality

Plaintiff also alleges that it has standing under common law. Plaintiff cites *Miller v. McKinnon*, in which the court noted that "a cause of action exists to recover from the person receiving the money illegally paid, independent of any statute, and it is also clear that the action may be prosecuted by a taxpayer in his name on behalf of the public agency." (*Miller v. McKinnon* (1942) 20 Cal.2d 83, 96.) "[T]he essence of a taxpayer action remains an illegal or wasteful expenditure of public funds or damage to public property." (*Waste Management of Alameda County, Inc. v. County of Alameda* (2000) 79 Cal.App.4th 1223, 1240.) "[T]he plaintiff must cite specific facts and reasons for a belief that some illegal expenditure or injury to the public fisc is occurring or will occur." (*ibid.*)

As noted by NWN, Plaintiff alleges that the challenged contracts between RBUSD, NWN, and Asset and the payments thereunder are illegal because "they include millions of dollars worth of items which are no longer available for purchase under the Multiple Award Contracts" and because "they also include millions of dollars worth of items which are not compatible with [RBUSD's] information technology system and provide no useful benefit to [RBUSD]." (TAC, ¶¶ 31-32.) Plaintiff further alleges that "Defendants included these items in the challenged contracts as sham or a placeholder items to create a pool of money that they could use to purchase of other items not authorized under any Multiple Award Contracts.

Alternatively, Plaintiff alleges NWN and [Asset] included these items in the challenged contracts so they could bill [RBUSD] for non-existent items and pocket the money [RBUSD] paid for those unavailable items.” (TAC, ¶¶ 31-32.)

These allegations are speculative and dependent upon Plaintiff’s assertion that the items would not be “useful” to RBUSD. As stated these allegations merely challenge RBUSD’s exercise of its discretion; there is no specific factual allegation of illegality. Furthermore, Plaintiff’s own exhibits indicate that RBUSD awarded the contracts to NWN through lawful means and that Asset was merely a finance company for the contracts.

Therefore, the court finds that the TAC is devoid of specific factual allegations showing that RBUSD lacked legal authority to award the referenced contracts to NWN and Asset.

For the above reasons, the court SUSTAINS Moving Defendants’ demurrers to the TAC.

E. Motion to Strike

The court may, upon motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (Code Civ. Proc. Section 436(a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc. Section 436(b).) The grounds for a motion to strike are that the pleading has irrelevant, false, or improper matter, or has not been drawn or filed in conformity with laws. (Code Civ. Proc. Section 436.) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Code Civ. Proc. Section 437(a).)

Given that the court has sustained NWN’s demurrer, it declines to address NWN’s motion to strike filed in the alternative.

F. Leave to Amend

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768 (“When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.”).) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

As Plaintiffs have amended their complaint three times, it is apparent that there is no basis to allege that the contracts entered into between the defendants were illegal.

CONCLUSION

Based on the foregoing, Moving Defendants’ demurrers to Plaintiff’s TAC are SUSTAINED without leave to amend. The court declines to address NWN’s motion to strike filed in the alternative.

Moving party is ordered to give notice of ruling.